
Update on ISSB's activities

IAASB Board meeting 21 March 2023

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Overview

1. Introduction of ISSB

2. First two ISSB Standards

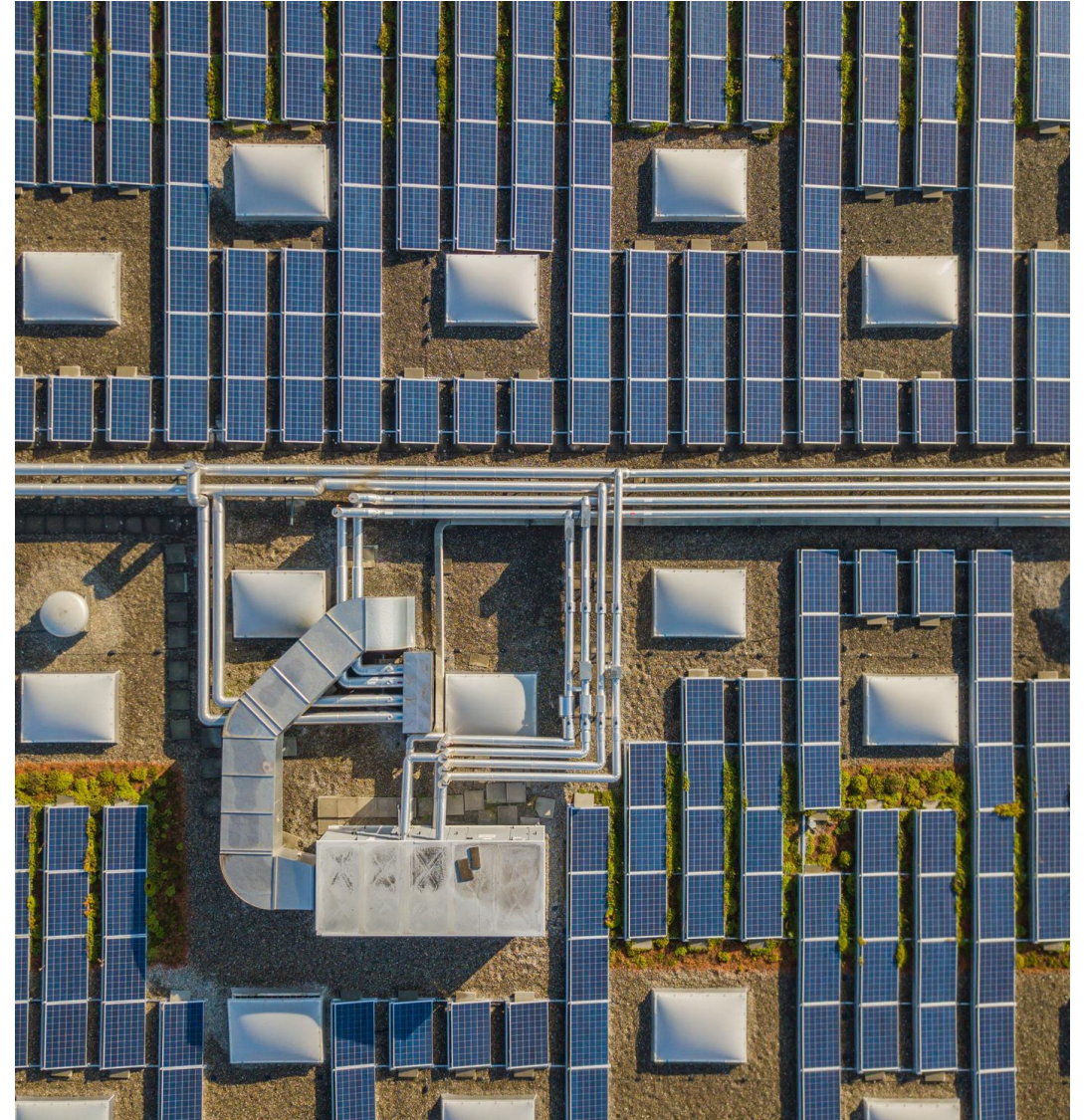
3. Maintenance of the SASB Standards

4. Agenda consultation

5. ISSB priorities for 2023

Why the ISSB?

- Sustainability factors becoming a mainstream part of investment decision-making
- End the alphabet soup of voluntary initiatives
- International policy support



Achieving global capital market standards



ISSB

provide
comprehensive
global baseline
through Standards



IOSCO

assess Standards
with a view to
recommend
adoption



IAASB

enhance and
develop assurance
standards



Jurisdictions

require by adopting
the Standards



Companies

voluntarily opt to
apply the Standards

ISSB objectives



Develop standards for a **global baseline of sustainability disclosures** meeting information needs of global investors



Enable companies to provide comprehensive, decision-useful sustainability information to global capital markets



Deliver a common language of sustainability disclosures, with the flexibility for regional ‘**building blocks**’ to be added by regulators when necessary **to meet local and multi-stakeholder information needs**

Working mechanisms similar to those of the IASB

International Sustainability Standards Board (ISSB)

- Normally comprise **14 members**
- A **minority** may be **part-time** members*
- Diversity in expertise and experience
- Broad **international** balance
- Initial term no greater than **five years**, with possibility of renewal up to a maximum of five years
- **Monthly meetings** open to the **public**
- Each ISSB member has **one vote**. In the event of a tied vote the Chair has an additional casting vote

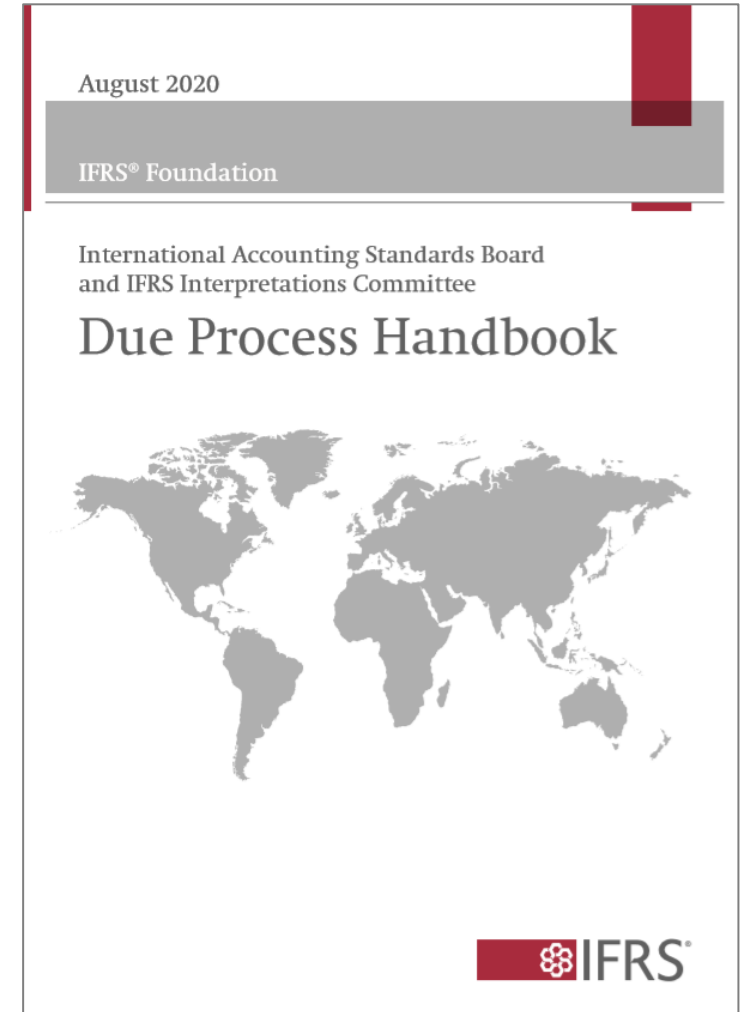
International Accounting Standards Board (IASB)

- Normally comprise **14 members**
- **Up to 3** members may be **part-time** members*
- Diversity in expertise and experience
- Broad **international** balance
- Initial term no greater than **five years**, with possibility of renewal up to a maximum of five years
- **Monthly meetings** open to the **public**
- Each IASB member has **one vote**. In the event of a tied vote the Chair has an additional casting vote

* The expression 'part-time' meaning that the members concerned commit most of their time to paid employment by the IFRS Foundation

Due process for the ISSB

- ISSB applies the due process specified in the IFRS Foundation *Constitution* plus the due process specified for the IASB in the *Due Process Handbook* as the ISSB's processes mature
- Due Process Oversight Committee (DPOC) monitors the need for potential adaptations to the IASB's due process for the ISSB in the interim (for example, for the maintenance of the SASB Standards – refer to slide 28)
- DPOC will update the *Due Process Handbook* once the ISSB's processes reach a sufficient degree of maturity



ISSB members



Sue Lloyd
Vice-Chair

From: **New Zealand**
Region: **At large**
Former: Vice Chair
IASB



Emmanuel Faber
Chair

From: **France**
Region: **At large**
Former: Chair and
CEO, **Danone**



Jingdong Hua
Vice-Chair

From: **China**
Region: **At large**
Former: Vice
President and
Treasurer, **World Bank**



Richard Barker

From: **UK**
Region: **Europe**
Former: Deputy
Dean and
professor of
accounting at Saïd
Business School,
University of Oxford



Jenny Bofinger-Schuster

From: **Germany**
Region: **Europe**
Former: Senior
Vice President for
sustainability and
operational
excellence,
Siemens



Verity Chegar

From: **USA**
Region: **Americas**
Former:
Sustainable
Investment and
Stewardship
Strategies,
California State Teachers' Retirement System's (CalSTRS)



Jeffrey Hales

From: **USA**
Region: **At large**
Former: Chair,
SASB Standards Board; Dr Hales
also teaches at the
University of Texas.

ISSB members



**Michael
Jantzi**

From: **Canada**
Region: **Americas**
Former: Founder,
Sustainalytics;
Managing Director
of ESG Strategy,
Morningstar



**Hiroshi
Komori**

From: **Japan**
Region: **Asia-
Oceania**
Former: Senior
Director and Head
of Stewardship,
ESG Division,
**Government
Pension
Investment Fund
(GPIF)**



**Bing
Leng**

From: **China**
Region: **Asia-
Oceania**
Former:
Sustainability
reporting initiatives,
**Chinese Ministry of
Finance**; Member,
IASB's IFRS
Taxonomy
Consultative Group



**Ndidi
Nnoli-Edozien**

From: **Nigeria**
Region: **Africa**
Former: Group
Chief
Sustainability and
Governance
Officer, **Dangote
Industries**



**Tae-Young
Paik**

From: **South Korea**
Region: **Asia-
Oceania**
Former: Professor
of accounting at
**Sungkyunkwan
University (SKKU)**



**Veronika
Pountcheva**

From: **Bulgaria**
Region: **Europe**
Former: Senior
Vice President of
corporate
responsibility,
METRO



**Elizabeth
Seeger**

From: **USA**
Region: **Americas**
Former: Managing
Director,
Sustainable
Investing, **KKR**

Informed by experts

Strategic Advisory Groups

IFRS Advisory Council

Integrated Reporting and Connectivity Council

ISSB Advisory Groups

Sustainability Standards Advisory Forum

Jurisdictional Working Group

Sustainability Consultative Committee

Investor Advisory Group

Technical Reference Group

ISSB builds on investor-focused standards and frameworks

Simplifying the sustainability disclosure landscape

Consolidated into the IFRS Foundation



CDSB
Framework



ISSB Standards build off market-leading frameworks and standards

Towards a comprehensive global baseline for disclosure



BUILDING BLOCKS

- May be added to meet jurisdiction-specific requirements (eg ESRS)
- May be adopted to meet broader multi-stakeholder needs (eg GRI Standards)

ISSB Standards

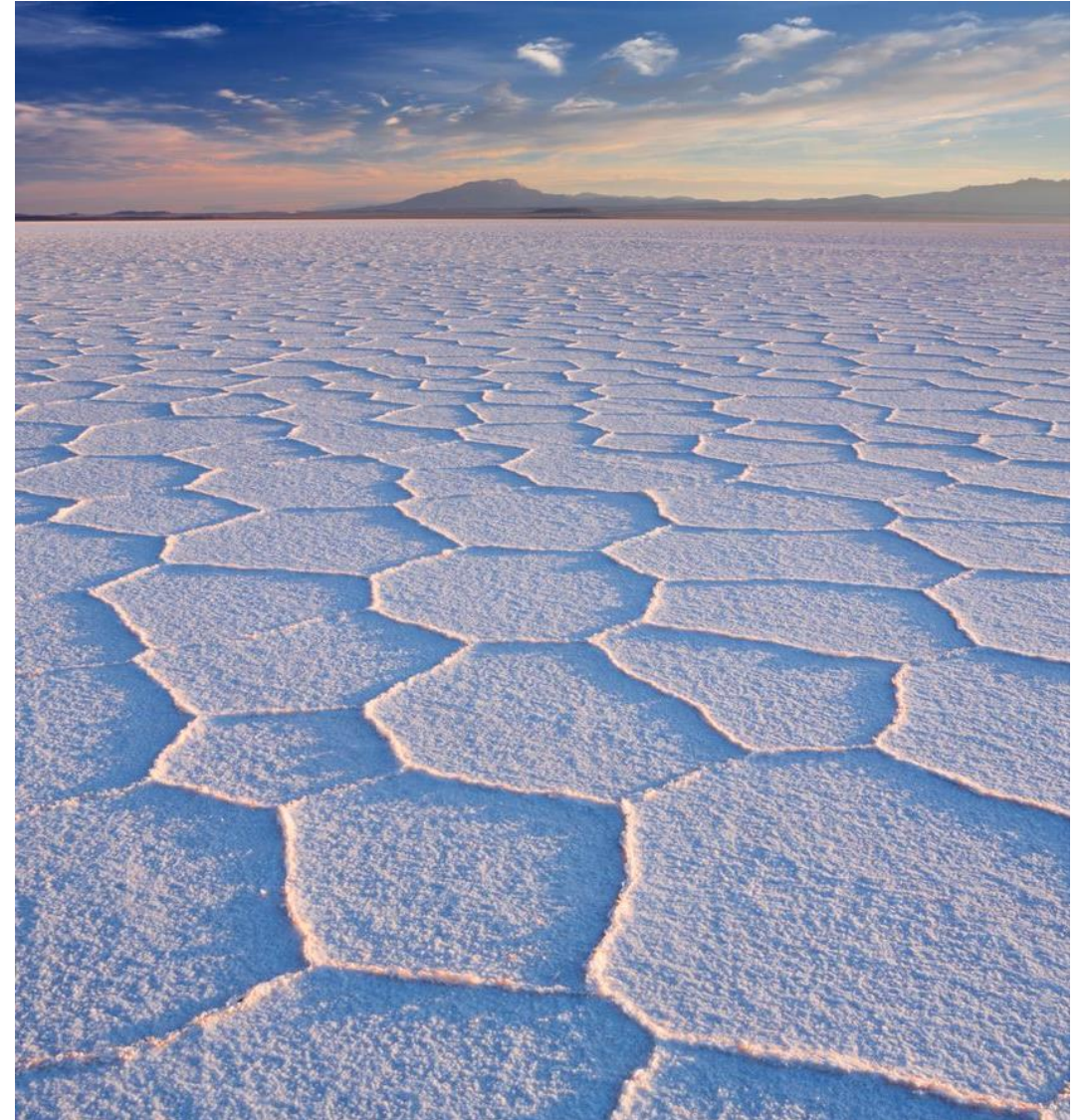


BASELINE

- Provides a comprehensive foundation of disclosure
- Common language for comparable, cost effective, decision-useful disclosures
- Designed to meet investor needs across global capital markets

Efficiency through interoperability

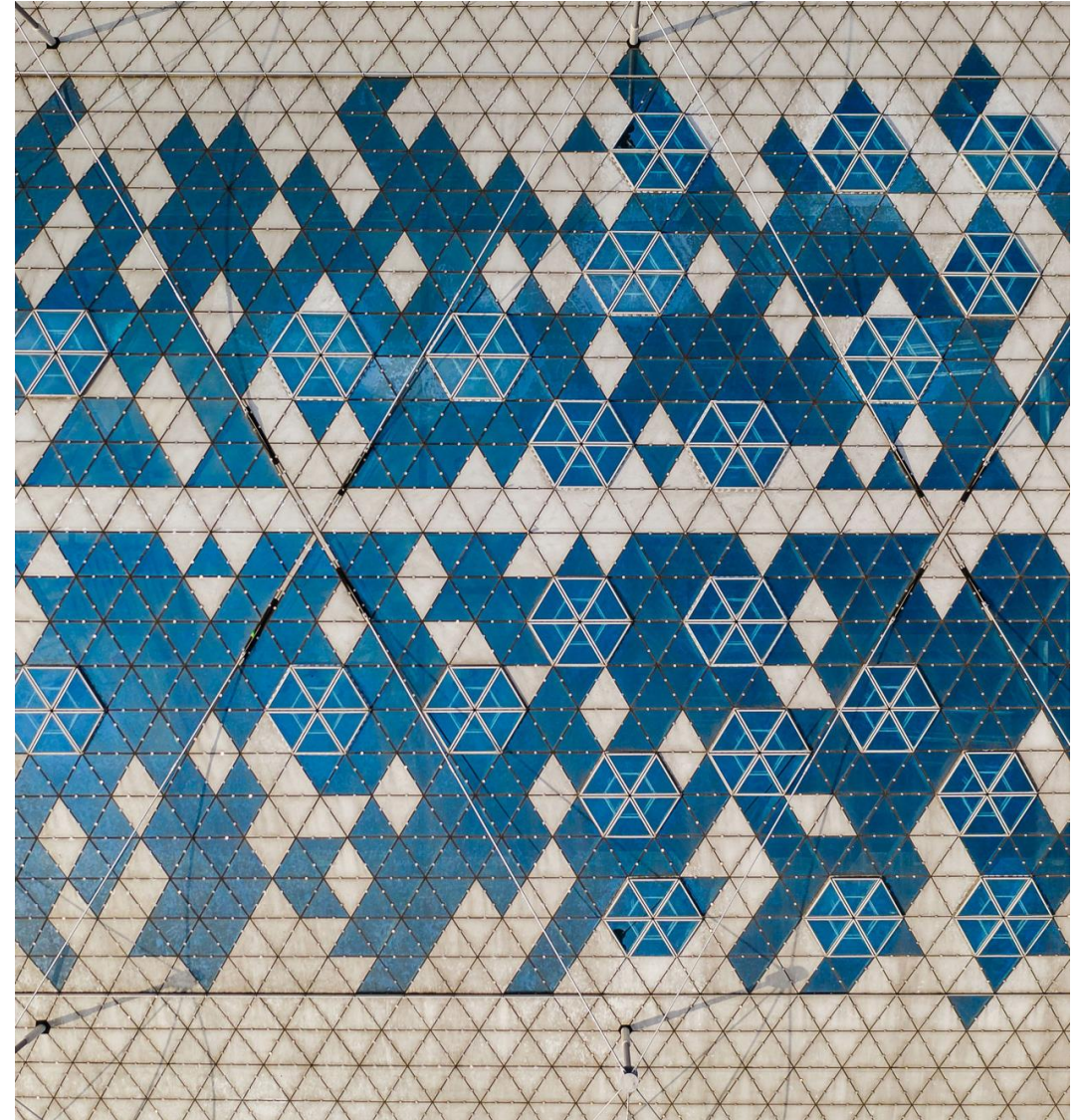
- **Ongoing dialogue with jurisdictions**, eg the European Commission, working on jurisdiction-specific disclosure requirements
- Many redeliberation decisions – eg enterprise value, Scope 3 – **support interoperability**
- Adopted the **TCFD architecture** to drive alignment
- Working with **GRI** to deliver a comprehensive sustainability reporting regime
- CDP to align platform to IFRS S2, **reducing market fragmentation** for CDP users



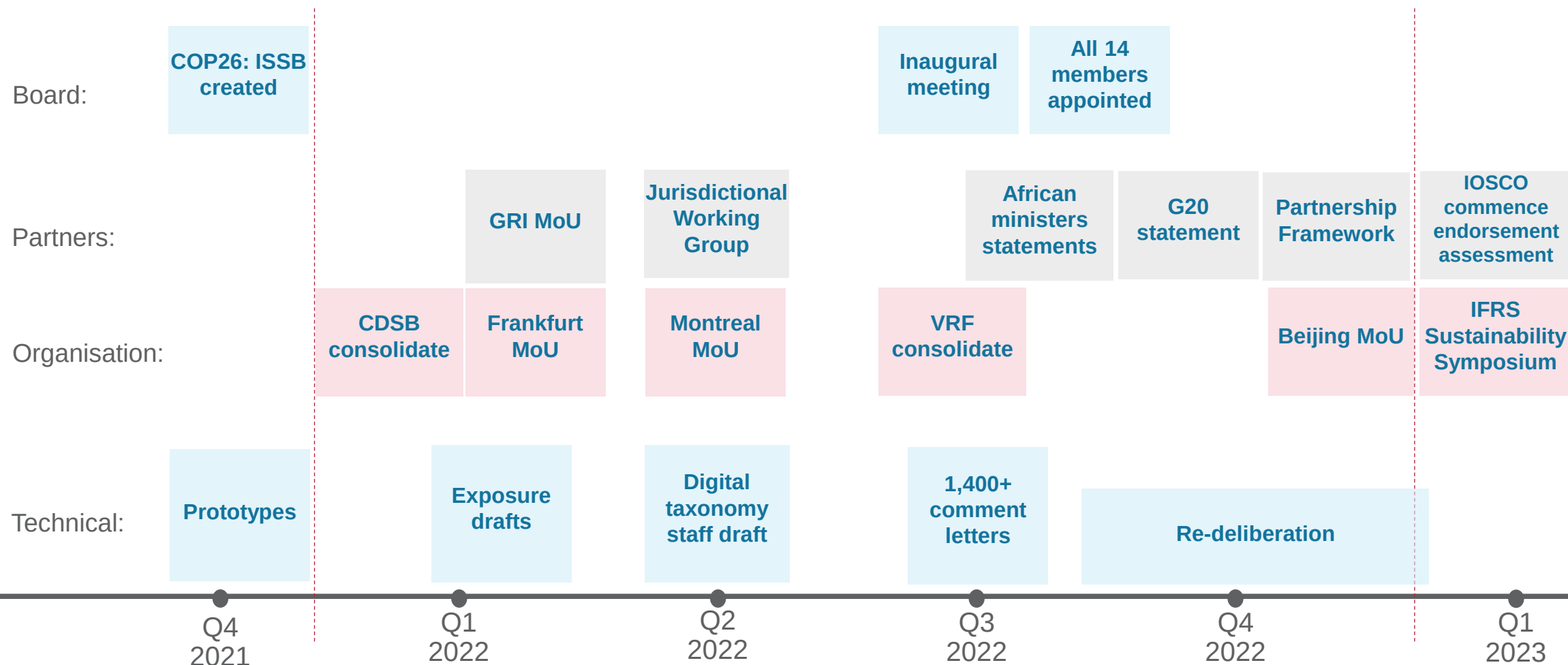
Determining materiality: meeting investor needs

ISSB Standards use the same definition of material as IFRS Accounting Standards to ensure investors understand sustainability risks and opportunities relevant to their investment decisions:

“Information is material if omitting, misstating or obscuring it could reasonably be expected to influence investor decisions.”



ISSB milestones



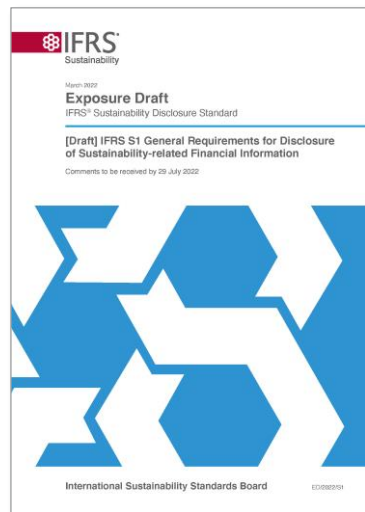
Projects in the ISSB work plan

	Next milestone
Consultation on Agenda Priorities	Publish Request for Information
General Sustainability-related Disclosures	Issue final standard (IFRS S1)
Climate-related Disclosures	Issue final standard (IFRS S2)
IFRS Sustainability Disclosure Taxonomy	Publish Proposed IFRS Sustainability Disclosure Taxonomy (exposure draft)
Maintenance of the SASB Standards	Publish Proposed methodology for improving the international applicability (exposure draft)
Inherited SASB Standards Projects	Publish exposure drafts for projects that were at advanced stage at the time of the VRF consolidation

First two ISSB Standards



General requirements Standard: IFRS S1



- Asks for disclosure of material information about sustainability-related risks and opportunities to meet investor information needs
- Sets out *general* reporting requirements; other ISSB Standards set out *specific* disclosures on particular matters (eg IFRS S2 *Climate-related Disclosures*)
- Refers to other standards and frameworks in absence of a specific ISSB Standard
- GAAP agnostic and therefore applicable across jurisdictions



Emphasises need for **consistency and connections** between financial statements and sustainability disclosures

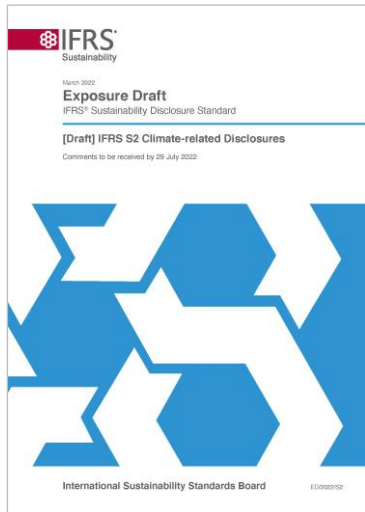


Financial statements and sustainability disclosures published **at the same time**, but with transitional relief



Does **not specify a location** for disclosure within general purpose financial reporting and **allows for additional information**, to facilitate application in different jurisdictions

Climate-related Disclosures Standard: IFRS S2



- Used in accordance with IFRS S1
- Disclosure of material information about climate-related risks and opportunities
- Incorporates TCFD Recommendations and guidance
- Includes requirement to provide industry-specific disclosures
- Industry-specific metrics included as illustrative guidance, taken from SASB Standards
- Requires disclosure of material information about physical risks, transition risks and climate-related opportunities



Transition planning

Emissions targets and use of carbon offsets



Climate resilience

Resilience of business strategy in multiple scenarios



Scope 1-3 emissions

Requirement to disclose GHG emissions in accordance with the GHG Protocol Corporate Standard

Decisions addressing assurability considerations

In response to stakeholder feedback, the ISSB has made several decisions designed to mitigate assurability challenges, during redeliberations of the proposals in the Exposure Drafts of IFRS S1 and IFRS S2

Assurability challenge	ISSB decisions
Outcome and/or measurement uncertainty	Requirement to use ‘reasonable and supportable information that is available at the reporting date without undue cost or effort’, in certain circumstances
Judgments, assumptions and estimates	Requirement to disclose judgments, assumptions and estimates that have the most significant effect on the information disclosed
‘Unable to do so’	Clarification regarding when companies may be unable to quantify current and anticipated financial effects (eg ‘separately identifiable’, ‘faithful representation’)
Application of ‘sources of guidance’	Clarification regarding ‘may’ and ‘shall’ requirement to disclose sources applied in preparing disclosures. Limited list of requirements that ‘shall’ consider to SASB Standards
General application	Creation of educational material, application guidance (such as Scope 3 framework), and other examples to support preparers and assurance providers

IFRS S1: Sources of guidance



Which risks & opportunities?

To identify **risks and opportunities** to report, a company uses ISSB Standards **and shall consider:**

- Industry-specific **SASB Standards**

A company may also consider:

- CDSB Framework application guidance
- industry practice
- materials of investor-focused standard setters



Which metrics?

In the absence of a specific ISSB Standard, to determine **what to disclose** a company **shall consider:**

- Industry-specific **SASB Standards**

A company may also consider, to the extent it meets investor information needs:

- CDSB Framework application guidance
- industry practice
- materials of investor-focused standard setters
- GRI Standards
- European ESRS

IFRS S2: Scope 3 GHG emissions

Requirements

- ✓ Scope 3 GHG emissions disclosure, across 15 categories*, when material
- ✓ Use of GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard
- ✓ Disclosure of how and why the company has used specific inputs, assumptions and estimation techniques to measure its GHG emissions, and information about changes



Companies with emissions associated with investments need to provide additional disclosures for financed emissions.

This relates to companies that are in, or have activities associated, with:

- Asset Management & Custody Activities
- Commercial Banks
- Insurance, for their investment activities

**Categories identified in the GHG Protocol*

IFRS S2: Scope 3 GHG emissions

Reliefs and support

**Relief:**

Temporary exemption from this disclosure when first applying IFRS S2

**Relief:**

Permission to include information obtained from companies in the value chain with a different reporting cycle

**Relief:**

Use of reasonable and supportable information available without undue cost or effort

**Guidance:**

Framework for Scope 3 measurement that incorporates use of estimation



We recognise that companies need help, as best practice develops, in measuring Scope 3 GHG emissions. These reliefs and guidance provide companies with time to get their processes in place, and the guidance to support this disclosure.

Sue Lloyd
Vice-Chair, ISSB

IFRS S2: Scope 3 measurement framework

Guidance to support companies

	A company shall prioritise the use of:	If prioritised information not available, consider:
Measurement:	direct measurement	estimation activity data and emission factors
Data:	primary data eg company-specific metric tons of waste generated	secondary data eg estimated metric tons of waste generated based on industry-average data
Scope:	more granular data cradle-to-gate GHG emissions for the product of interest	less granular data GHG emissions and/or activity data for the entire corporation
Verification:	verified	not verified

When to start to provide the disclosures in IFRS S1 and IFRS S2?

- **Effective** for annual reporting periods beginning on or after **1 January 2024**
- **Available for use before** that date to the extent a company applies both Standards at the same time
- If a company applies before 2024 it will **disclose that fact**
- **No** requirements to provide:
 - **interim** sustainability-related financial reporting
 - **comparative** information in the **first annual reporting period**

Considerations in setting 2024 effective date



- Responding to investor demand
- Built on well-established standards and frameworks
- Transition reliefs
- Use of information that is reasonable and supportable and is available without undue cost or effort
- Committed to capacity building and providing guidance
- 18,000+ companies will collect data as required by IFRS S2 to disclose on the CDP platform for the 2024 financial year

Maintenance of the SASB Standards



SASB Standards

IFRS S1

General
Requirements

Required to consider in absence
of specific ISSB Standard



Industry-specific
sustainability-related
topics and metrics

Content the ISSB **will expose**
for comment to facilitate
international applicability

IFRS S2

Climate
Disclosures

Illustrative guidance:
required to consider to provide
industry-specific disclosure

Industry-based
climate-related
topics and metrics

Content the ISSB **has exposed**
for comments, including facilitating
international applicability

Process for maintaining SASB Standards



A group of 3-5 ISSB members will:

- **develop recommendations** for the ISSB to maintain, evolve and enhance the SASB Standards that do not form part of IFRS Sustainability Disclosure Standards
- **develop** drafts of **exposure drafts of amendments to the SASB Standards** and drafts of the **final amendments**



The ISSB will consider the recommendations of this group in ISSB meetings and **ratify the exposure drafts** and the **final amendments**

Ratification will require the same level of support by ISSB members as is required for an amendment to an IFRS Sustainability Disclosure Standard

Exposure drafts and final amendments to the SASB Standards will be issued by the ISSB



The **comment period** for the exposure drafts will be the **same as** for those related to **IFRS Sustainability Disclosure Standards**

Agenda consultation



Agenda consultation in Q2

ISSB to hold public consultation on four projects to **further understand** standard-setting priorities:

- biodiversity, ecosystems and ecosystem services
- human capital
- human rights
- connected reporting



ISSB priorities for 2023



Priorities

Steps to deliver, strengthen and enhance adoption and application of IFRS S1 and IFRS S2:

- balloting process
- digital taxonomy
- capacity building
- regulatory adoption, working with IOSCO and jurisdictions
- voluntary application, working with companies and investors

Work to:

- enhance international applicability of SASB Standards
- connect climate and nature by researching incremental enhancements to disclosures required by IFRS S2

Focus on:

- connectivity with financial statements
- interoperability with GRI Standards



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